

EQUITY RESEARCH PROCESS

AT HAMILCAR CAPITAL

(9.7 DAYS)

Main websites used:

- <https://www.worldbank.org/en/home>
- <https://africanfinancials.com/>
- <https://www.african-markets.com/en/>
- <https://www.marketscreener.com/>
- <https://www.reuters.com/>
- <https://www.ft.com/>

MODEL - 42H30 – 5.3 DAYS (8H DAYS)

1. CHOOSING THE RIGHT MODEL – 30MN

Financial	Cement	Diamond	Telecom	Holding	Retail	Consumer Goods	Utilities	Industrial	Mining
EcoBank	Bamburi	Lucara	Botswana Telecom	Bollere	Choppies	Sucrivoire	Voltalia	Auplata	CMT

2. BUILDING KNOWLEDGE ABOUT THE COMPANY – 2H

- Go through company's annual report
- Check the company's current share price and stock performance

3. DATA EXTRACTION – 12H

- Extract the data from annual report to the model:
 - o Income Statement
 - o Balance Sheet
 - o Cash-flow statements
 - o Notes (supporting schedule)

4. MODEL ADAPTATION – 3H

- Add or subtract the necessary supporting schedule depending on the historical variations and the amount it represents on the balance sheet

5. LINKAGE – 20H

- Properly link the supporting schedules to the 3 financial statements
- Check that the balance is 0 on the first line of the model
- If the balance is different than 0, check:
 - o That every supporting schedule is linked to the financial statements
 - o That the last historical cash & cash equivalent is the same as on cash flow statement (if not, keep the difference or link it properly)
 - o That the last historical value on the balance sheet is the same on the historical supporting schedule
- Update the WACC using data from internet (risk-free rate from bond coupon)

6. COMPARABLE – 3H

- Find 4 to 8 companies with the same activity and similar revenue/capitalisation
- Extract each companies' data
- The model should compute the valorisation

7. FOOTBALL FIELD – 2H

- The valuation summary should be linked to the model
- Extract the football field from the model to PowerPoint
- Enter the corresponding data on the PowerPoint
- Insert the final football field on the report

REPORT - 35H – 4.4 DAYS (8H DAYS)

1. BUILDING KNOWLEDGE ABOUT THE COMPANY – 5H

Go through company's annual report

2. DOING THE PARTS INDEPENDENT FROM THE MODEL – 20H

- Business Overview
- Money making
- Market Overview
- Risks to Business
- Country Risk
- Management team and culture
- Worth Knowing

3. DOING THE PARTS FROM THE MODEL – 10H

- Business Overview
- Financial Statements Notes
- Valuation